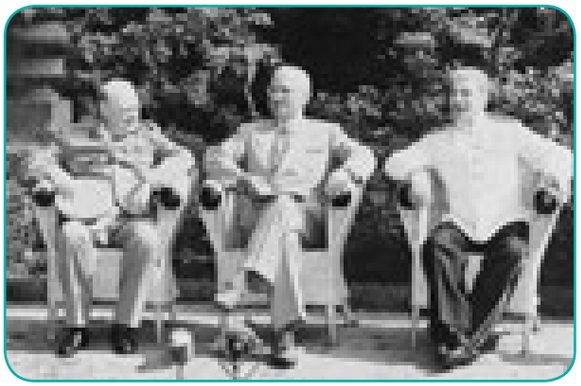


Churchill - Truman - Stalin

Otherwise there was no peace conference. Great Britain, the Soviet Union and the US, represented by Churchill, Stalin and Truman, agreed at the Potsdam meet to create a council of foreign ministers of five Powers – the Big three plus China and France – to continue the necessary preparatory work for the peace settlements. This council became the principal agency for peace-making in Europe. It was agreed upon that peace treaties with Italy, Hungary, Belgium, and Rumania be finalised before dealing treaties with Italy and Germany. Great Britain, USA, USSR and France would draft the Italian treaty, the Big three would draft the three Balkan treaties, Great Britain and Soviet Union would draft for Finland. Then the draft treaties would be considered at a general conference.

Peace Conference, 1946

1500 delegates from 21 nations met at Luxemburg Palace, Paris, from July 26 to 15 October 1946. After a great deal of deliberations the recommendations of the conference were reviewed by the Council of Foreign Ministers and adopted after slight modifications.

Italian Peace treaty: The issue of Trieste dragged for several years. Italy demanded Trieste. Soviet Union had promised it to Yugoslavia. Finally, in 1954, Trieste was divided into Zone A and Zone B. Zone A went to Italy, while Zone B was awarded to Yugoslavia. The Italian reparation was fixed at $ 260,000,000 (most of it to go to Greece and Yugoslavia).

Reparation to Russia: Hungary, Belgium and Finland were to give $100,000,000 to Russia. Bulgaria was to pay $25,000,000 to Yugoslavia and $4,000,000 to Greece. Rumania agreed to give back Bessarabia, acquired in 1919, and Bukovina to Russia. The Belgium treaties guaranteed the free navigation of the Danube. But it was blocked by Russia. The treaties came into effect from 15 September 1947. But the provisions were either violated or ignored.

Austria: Disputes arose over the claim of Yugoslavia to a portion of Austrian territory in southern Carinthia. Yugoslavia also demanded $150,000,000 as reparation. The problematic issue of defining German assets could not be resolved even though the commission set up for this purpose met in 85 sessions. The issue of reparation with Russia was settled with the Soviet extension of rights to the oil and shipping facilities in Austria and a cash payment of $150,000,000 over a six year period in lieu of the German assets. Austria was reestablished as a sovereign, independent and democratic state with the same frontiers it had before the forced union with Germany in 1938. Austria agreed not to enter into political or economic union with Germany in any form.

Germany: The conference held at Potsdam, near Berlin, issued the following formal declarations: 1. East Prussia to be divided into two parts: northern part going to the Soviet Union, and the southern part to Poland. 2. Poland to receive the former free city of Danzig. The military power of Germany was to be totally destroyed, and Germany was to be divided into four occupation zones to be governed by the USSR, Great Britain, the United States and France. Thus substantial portions of pre-war Germany were transferred to the USSR and to Poland. Berlin in the heart of Russian sphere and the rest of the country was divided into four zones. In April 1949 the German Democratic Republic was proclaimed in the Soviet zone. NATO decided to approve the Federal Republic of Germany. In September the newly elected parliament of the Federal Republic of Germany was established.

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